

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: June 12, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-12

UNDERWEIGHT

Blended Target: \$997.37

DCF + Comps + Analyst (see cross-check table)

Implied upside: -13.7%

Price (Jun): \$1155.27

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$997.37 (-13.7% vs \$1155.27); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **UNDERWEIGHT** rating; blended target \$997.37. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.03T	Shares Out.	891.7M
52-Week Range	\$623.78 – \$1182.73	P/E (TTM)	41.1x
P/B	33.1x	Beta	0.52
Avg Volume	3.22M	Analyst Rec.	Buy
Revenue (TTM)	\$65.18B	Rev Growth	+44.7%
Op. Margin	49.4%	FCF (TTM)	\$5.96B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	45,043	65,179	94,317	124,538	153,406
Revenue Growth (%)	N/A	44.7%	44.7%	32.0%	23.2%
Net Income (\$M)	10,590	20,640	29,867	39,437	48,579
Net Income Growth (%)	N/A	94.9%	44.7%	32.0%	23.2%
Gross Margin (%)	81.3%	83.0%	82.8%	82.8%	82.8%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
ROE (%)	74.2%	77.8%	112.6%	134.8%	158.1%
EPS (\$)	11.88	23.15	33.49	44.22	54.48
Book Value / Share (\$)	16.00	29.76	29.76	32.81	34.45
P/E (x)	97.28	49.91	34.49	26.12	21.21
P/B (x)	72.18	38.82	38.82	35.21	33.54
Dividend Yield (%)	60.0%	60.0%	60.0%	60.0%	60.0%

Page 2 of 2 · Eli Lilly and Company (LLY) · Valuation · Industry · Peers · Data as of 2026-06-12 · Q4 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$483.81	-58.1%	0% (excluded)	Diverges below other methods (47% of median)
Comps — P/E (peer median)	\$882.47	-23.6%	—	Peer median P/E 31.4x
Comps — EV/EBITDA (peer median)	\$928.72	-19.6%	—	Peer median 27.2x
Comps — P/S (peer median)	\$763.93	-33.9%	—	Peer median P/S 10.5x
Comps — Blended (avg. of available multiples)	\$858.37	-25.7%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$1215.79	+5.2%	39%	Included in blend
Blended target (weighted)	\$997.37	-13.7%	100%	Comps 61% + Analyst 39%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	1.50%
FCFE growth	29.06%
Base FCFE	\$8.13B
PV explicit (5Y)	\$72.73B
PV terminal	\$343.11B
Equity value (adj.)	\$431.44B
Implied price	\$483.81
vs. current	-58.1%

INDUSTRY ANALYSIS

1. Industry Overview

Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and internationally. The company offers cardiometabolic health products, including Basaglar, Humalog, Humalog Mix 75/25, Humalog U-100, Humalog U-200, Humalog Mix 50/50, insulin lispro, insulin lispro protamine, insulin lispro mix 75/25, Humulin,...

2. Key Trends

- Strong top-line growth (44.7% YoY)
- High operating leverage (49.4% margin)
- Defensive profile (β =0.52)
- Sector: Healthcare | Industry: Drug Manufacturers - General

3. Risk Factors

- Elevated leverage (D/E: 139%)
- Premium valuation (P/E: 41.1x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$4.98T	31.4x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.42T	27.7x	26.7x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.28T	35.3x	27.2x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$2.88T	23.1x	16.0x	39.3%	+18.3%
LLY*	Eli Lilly and Company	\$1.03T	41.1x	29.6x	35.0%	+44.7%

* Subject company. Commands premium p/e vs peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.